EG Daily Brief: Oil prices to rise as conflicts tighten market

送信者: EG Daily Brief 受信日時: 2026-07-21 21:31

【メール原文】

21 Jul 2026 08:24 EDT

Daily Brief: Oil prices to rise as conflicts tighten market

Oil price outlook | Iran's economic toll | US troop deaths | US tariffs on Canada | UK tax outlook | Upcoming conference calls | EG in depth

summary

* Oil prices are likely to push further into the $90s as Iranian Hormuz disruption, Houthi Red Sea blockade threats, and Ukrainian attacks on Russian targets combine to tighten the market.
* Escalation of the Iran conflict has widened the hit to growth and inflationary impact from energy prices by roughly 30% since late June.
* US troop deaths in Jordan are the first American fatalities since the June ceasefire breakdown, but President Donald Trump's muted reaction signals no major escalation.
* The Trump administration's new 50% tariff on some Canadian goods suggests a negotiating tool and adds urgency to bilateral talks.
* Regions, countries, and sectors covered include the US, Canada, Iran, Russia, Saudi Arabia, Ukraine, the UK, Yemen, oil, geoeconomics, and trade.

the top line

Oil—Prices will rise further as multiple geopolitical conflicts tighten the market

* Iran in the Strait of Hormuz, the Houthis in the Red Sea, and Ukraine's attacks on Russian targets in the Black Sea are combining to drive prices higher as the early July "mini-glut" following the short-lived peace deal fades.
* Iran is unlikely to back down, and while the Houthis are threatening to expand their actions against Saudi Arabia, a concerted effort to close the Red Sea would trigger more significant escalation (see more on the Houthis in EG in Depth below).
* Ukrainian attacks on Russian refineries and tanker traffic in the Black Sea will continue, adding to pressures keeping prices high and threatening both Russian and Kazakh crude exports.
* Prices are likely to rise further into the $90s for Brent, and potentially higher if the US or Iran escalate their confrontation (see note , 15 July).
* Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Geoeconomics—US-Iran escalation reignites energy shock's economic toll

* Renewed escalation in the Iran conflict has widened our estimated hit to growth and inflationary impact from energy prices by roughly 30% since late June, with our basecase of oil settling in a $90-$110 band adding a further 35% to the damage if sustained through year-end.
* European, South Asian, and Southeast Asian importers are the most exposed—with a strong El Niño adding to these woes in many countries—while an AI-driven investment boom is masking the shock in tech-heavy economies such as South Korea, Japan, Vietnam, and Singapore.
* US gasoline prices climbing back above $4 a gallon will heighten US consumers' cost-of-living concerns, but the prospect of losing the midterms will not deter Trump from pressing ahead in the Middle East.
* Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

US, Iran—Troop deaths make de-escalation with Iran more difficult

* The deaths of two US soldiers in an Iranian attack on a base in Jordan—with a third soldier still missing—are the first American fatalities since the breakdown of the June memorandum of understanding between the US and Iran.
* The deaths will make it harder for the US to walk away from the conflict, though Trump's relatively muted reaction indicates they will not force major escalation.
* The US strategy appears unchanged and is focused on degrading Iranian strategic capabilities to force them into a more conciliatory negotiating position.
* That the troops were killed in Jordan is indicative of a broader shift in Iranian strategy.
* Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Canada—Washington revives Section 338 to drive stalled USMCA talks with Canada

* The Trump administration announced 50% Section 338 duties on $20 billion in Canadian goods—the first modern use of a dormant statute allowing the president to target countries that discriminate against US commerce. The narrow product scope and 30-day window signal a negotiating tool, not broad escalation.
* By extending Section 338 to goods covered under the United States-Mexico-Canada Agreement, the administration strips Canada of a key buffer and raises the economic cost of allowing talks to stall, injecting urgency into bilateral negotiations. A credible off-ramp would require Canada to restore US alcohol access, modify dairy quotas, and suspend US-specific auto measures—concessions that could prompt Washington to delay or narrow the tariffs.
* The implications extend beyond Canada: Section 338 now joins Sections 232 and 301 as a credible unilateral trade tool, partly recovering leverage lost when courts overturned IEEPA tariffs. Significant legal challenges are likely.
* Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

UK—Tax increases now likely in Burnham's first budget

* UK Prime Minister Andy Burnham's appointment of the fiscally responsible former defense secretary John Healey as chancellor is intended to reassure the financial markets, though it points to an increase in defense spending from 2.7% of GDP today to 3.5% by 2035.
* Burnham made a number of additional spending commitments today, which, along with the likely boost for defense spending and aid, reinforce EG's view that taxes will rise in his government's first budget in October or November.
* The challenging fiscal backdrop has fuelled speculation in Labour circles that Burnham might call a general election before 2029, but we assign only a 30% probability to this outcome.
* Read more here . Reach out to discuss: europe@eurasiagroup.net .

Upcoming conference calls

* 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .
* 22 July 9:00 PM ET—MENA crisis update. Register here .
* 23 July 8:00 AM ET—China, the middle powers, and the global minerals race. Register here .
* 23 July 10:00 AM ET—Latin America update. Register here .

eg in depth

MENA Crisis, Saudi Arabia, Yemen, Iran—Houthis likely to launch limited attacks to extract Saudi payoffs: Houthis likely to launch limited attacks to extract Saudi payoffs without major energy disruption. The group's leader, Abdul Malek al Houthi may signal escalation or de-escalation in a speech on Thursday, with military action potentially following soon after. The Houthis are using threats on Saudi shipping to extract financial support from Riyadh to pay public sector workers in Houthi-controlled areas. Any spike in attacks on traffic in the Red Sea is likely to remain short-lived, with the Houthis hoping to reach a deal with the kingdom after demonstrating a willingness to act. Read more here . Reach out to discuss: mena@eurasiagroup.net .

Upcoming events:

* 21 July: Events: ASEAN foreign ministers’ meeting, through July 24; Central bank decision: Nigeria.
* 22 July: Events: Alphabet and Tesla earnings; Data: Japan trade and Russia industrial production; Central bank decision: Indonesia.
* 23 July: Events: Intel earnings; Data: Eurozone consumer confidence, South Korea GDP, and Taiwan industrial production; Central bank decisions: ECB, South Africa, and Turkey.
* 24 July: Events: The temporary 10% US global tariff is set to expire; Data: Eurozone, Japan, UK, and US S&P and India HSBC manufacturing PMI; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

This trade dispute has raised costs for families, particularly in the US. Canada stands ready to engage intensively to address outstanding issues with the US to the mutual benefit of our citizens."—Canadian prime minister Mark Carney said in a statement said in a statement on 20 July.

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Explanation of Political Trajectories (ie, "Trajectories")

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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